

imperative”—the lemming-like tendency of corporate managers to imitate the behavior of others, no matter how silly or irrational it may be.

It was the most surprising discovery of his business career. At school he was taught that experienced managers were honest and intelligent, and automatically made rational business decisions. Once out in the business world, he learned instead that “rationality frequently wilts when the institutional imperative comes into play.”¹⁶

Buffett believes that the institutional imperative is responsible for several serious, but distressingly common, conditions: “(1) [The organization] resists any change in its current direction; (2) just as work expands to fill available time, corporate projects or acquisitions will materialize to soak up available funds; (3) any business craving of the leader, however foolish, will quickly be supported by detailed rate-of-return and strategic studies prepared by his troops; and (4) the behavior of peer companies, whether they are expanding, acquiring, setting executive compensation or whatever, will be mindlessly imitated.”¹⁷

Buffett learned this lesson early. Jack Ringwalt, head of National Indemnity, which Berkshire acquired in 1967, made what seemed a stubborn move. While most insurance companies were writing policies on terms guaranteed to produce inadequate returns—or worse, a loss—Ringwalt stepped away from the market and refused to write new policies. Buffett recognized the wisdom of Ringwalt’s decision and followed suit. Today, all of Berkshire’s insurance companies still operate on this principle: Just because everyone else is doing something, that doesn’t make it right.

What is behind the institutional imperative that drives so many businesses? Human nature. Most managers are unwilling to look foolish with, for example, an embarrassing quarterly loss when others in their industry are still producing quarterly gains, even though they assuredly are heading, like lemmings, into the sea.

It is never easy to make unconventional decisions or to shift direction. Still, a manager with strong communication skills should be able to persuade owners to accept a short-term loss in earnings and a change in the company’s direction if that strategy will yield superior results over time. Inability to resist the institutional imperative, Buffett has learned, often has less to do with the owners of the company than with the willingness of its